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Business Frameworks & First Principles
Session - 1

20th October, 2026

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Agenda

1 Term 1 Final Exam - Answer Key discussion

2 Introduction to First Principles



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Term 1 - Final Exam

Answer Key

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Our starting point - Great, but there is a lot more potential

- Business Frameworks course helped you develop business judgement, and was an overview into the types of problems startups face
- As a group, you have great calibre, exciting ideas, and most importantly the willingness to learn
- What will keep improving with time:
    - Structuring problems better
    - Business judgement
    - More MECE PS approaches

Let's start with a question

Your client has been given $100 million in inheritance. He has sought for your advice. What would you advise?

Such a question has no right answer, what matters here is your overall problem-solving approach

- Arriving at a role/objective, and sticking through it throughout the solution
- Your ability to break down the problem post finalizing the objective
- Logical reasoning - choosing one option over the other
- Numerical thinking - how much money in what sort of instruments
- Ability to finally scope a solution - this is what I will put in such and such instruments because this is my role and this is my objective

This question needs to start off with understanding the right context

1. Personal and Financial Context
* Age, lifestyle preferences, and dependents
* Nature and interest rate of the current debt
* Income or business situation

2. Risk and Temperament
* Risk-taking ability — fear of volatility, loss, or uncertainty
* Preference for steady income vs long-term growth
* Past investment experience and comfort with various asset classes

3. Objectives and Time Horizon
* Top priorities with the $100M (e.g., preservation, growth, legacy, philanthropy)
* Planning horizon (10 years, lifetime, multi-generational)
* Upcoming large financial goals or purchases

4. Liquidity, Control, and Complexity
* Desired liquidity/cash buffer
* Willingness to engage advisors
* Ethical or thematic investment boundaries

5. Tax and Legal Considerations
* Existing entities or trusts
* Priority between tax efficiency and simplicity

6. Legacy, Impact, and Lifestyle
* Interest in creating a trust, foundation, philanthropic or passion project initiative
* Desired lifestyle and involvement in wealth management
* Approach to wealth—maintain, grow, or enjoy

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First Principles is the most powerful tool to crack business problems

- Breaks down complex problems into their most basic elements
- Build up MECE solutions from there
- Challenging every assumption to find the irreducible truths & then reconstructing them
    - Reducing reliance on heuristics and assumptions
    - Netflix, Airbnb, Q-Comm are also companies that stemmed from challenging of incumbent's assumptions

Frameworks - while very robust in forming strategies - are **typically not fully forward looking**, **non-exhaustive** and **high-level.** They're typically a great starting point in your business journey.



First Principles build on these frameworks to create a way to **think through & structurally approach EVERY problem**, no matter how open-ended. They help you solve **day-to-day and case-to-case problems** a lot more effectively.

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Objective of the course

- Go beyond frameworks and cultivate the reflex of breaking things down to their atomic truths.
- Develop intellectual flexibility by applying First Principles Thinking (FPT) in logic, business, design, self, and society.
- Strengthen decision-making by questioning assumptions before reaching conclusions.
- “First Principles Lab” is not limited to breaking down business problems. We aim to experiment with diverse exercises that strengthen problem-solving, thinking, and reasoning so students can solve challenges even without pre-defined frameworks.
- Develop confidence in approaching unconventional and ambiguous problems.

We will accomplish this objective via

- Abstract business problems that cannot be solved via Frameworks
- Puzzles and riddles
- Problem identification and scoping
- Ethical and personal dilemmas
- Numerical reasoning
- Unconventional problem statements and cases

Even the most generic interview/introductory questions are typically judged on First Principles only

What did you do in your previous organization?

How did you drive XX metric in your BYOB startup?

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Use First Principles here to list out all possibilities, and then figure out the truth in a structural manner

Your friend tells you “I don’t speak lies.” Let’s assume he is being truthful.

What are the possible outcomes of this sentences? How can you determine what (all) is true?

Use First Principles here to list out all possibilities, and then figure out the truth in a structural manner

Your friend tells you “I have never been caught drunken driving.” Let’s assume he is being truthful.

What are the possible outcomes of this sentences? How can you determine what (all) is true?

Let’s try to do this in the business world now - how will you structure this problem?

You are the CEO of an international airline co., primarily operating in Europe, which is struggling to achieve its revenue growth targets. You want to check if entering India will help you achieve these targets. If yes, what sort of goals will you have to take?

Let’s take it a notch higher - how will you structure this problem?

JioHotstar has a subscription tier with access to premium content, but with ads. You are the PM for the subscription product - how will you choose between the 2 options?

[1] Show a lot of ads

[2] Show only a few ads

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Let’s take it a further notch higher - how will you structure this problem?

I'm the Traffic Commissioner of Bangalore. Help me reduce the traffic on Bangalore roads.


Q&A